

Alpha FMC Bidco Limited

Annual report and financial statements

Registered number 09928343

31 March 2021

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Company Information

Directors	ENB Fraser JC Paton
Company number	09928343
Registered office	60 Gresham Street London EC2V 7BB
Auditor	KPMG LLP St Nicholas House 31 Park Row Nottingham NG1 6FQ
Banker	Lloyds Bank Plc 10 Gresham Street London EC2V 7AE

Strategic report

Business review

The Company functions as an intermediate holding entity within the wider Alpha Financial Markets Consulting Plc Group¹. At 31 March 2021 (FY 21²) the Company holds net assets of £682,000 (FY 20: £1,310,000). The Company has transferred profits before dividend expense of £5,372,000 (FY 20: £6,496,000) to retained earnings as a result of intercompany services provided and recharged to Group companies and net intercompany dividend income transferred between the Company's subsidiaries. As at 31 March 2021, the Company had one principal bank facility, which comprised a £20.0m committed revolving credit facility (RCF) with Lloyds Bank plc. £5.0m was drawn in the first half of the year as a protective measure in the light of business uncertainty brought about by the COVID-19 pandemic and was repaid in full on 14 October 2020. As at 31 March 2021 this facility remains undrawn.

Future developments

The Company is expected to continue to operate as an intermediate holding company for the Group. No other future developments are foreseen by the Directors at the balance sheet date.

Key performance indicators

Working capital management and the sufficiency of assets held across the Group are the primary indicators which are reviewed on a weekly basis to monitor cashflow, liquidity and the recovery of trade receivables.

Each month the Directors review the management accounts for each trading Group undertaking and compare actual performance against budget. Costs and utilisation are also reviewed to monitor profitability.

Principal risks and uncertainties

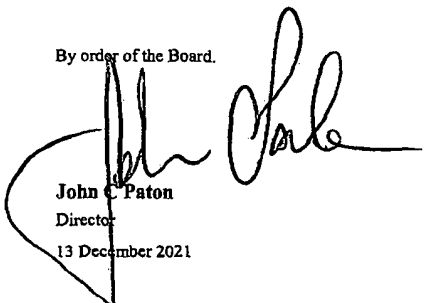
As a holding company for the Group there is deemed to be a strong balance sheet and net assets position. Management continue to operate conservative cash management policies, which have been supplemented by strategic decisions made to safeguard liquidity during the pandemic, as described below. The Directors are satisfied with performance for the year.

Risk Management and the year ahead

The Directors are pleased with trading in a year of huge challenge and uncertainty with the ongoing impacts of the COVID-19 pandemic. The Directors took pre-emptive actions in the first half of the year to preserve financial flexibility, including temporary salary sacrifices made by the wider Director team and the deferral of employee profit share payments. However, the Company's financial performance strengthened throughout the year and all precautionary final measures in response to COVID-19 were withdrawn and reversed.

The Group enjoyed growing momentum through the second half of the year and that has continued into the early part of the new financial year, along with an excellent pipeline of new business opportunities under discussion. The Directors therefore look to the future with confidence.

By order of the Board.


John C Paton
Director

13 December 2021

¹ Group refers to the Company's ultimate parent, Alpha Financial Markets Consulting plc and its subsidiaries.

² FY 21 is the financial year covering the 12 months to 31 March 2021. By comparison, FY 20 is the previous financial year covering the 12 months to 31 March 2020.

Directors' report

The Directors present their report and the audited financial statements for the year ended 31 March 2021.

Principal activities

The principal activity of the Company is that of a holding Company, to which the costs and expenses relating to the central management team of the Company's ultimate parent Company (Alpha Financial Markets Consulting Plc) are recharged and expensed.

Results and dividend

The results for the year are set out in the attached profit and loss account.

An interim dividend in respect of the year ended 31 March 2021 of £6,000,000 (FY 20: £6,909,000) was paid to Alpha FMC Midco 2 Limited to facilitate the Group dividend payments made by the Company's ultimate parent, Alpha Financial Markets Consulting Plc, to its shareholders. This dividend was facilitated by the receipt of dividends of £6,000,000 (FY 20: £7,187,000) from the Company's directly owned subsidiary, Alpha FMC Group Holdings Limited. The Directors have not recommended the payment of a final dividend (FY 20: £nil).

For further information on the likely future developments of the business, please refer to the strategic report.

Directors

The Directors who held office during the year were as follows:

ENB Fraser

JC Paton

Political contributions

The Company made no political donations or incurred any political expenditure during the year.

Employee involvement

The health and welfare of the Company's employees remains a key priority for the Directors, as reflected by the Company's position on the 'Sunday Times 100 Best small companies to work for' 2017-2020, and in the 'UK's 100 Best Large Companies to Work for' in 2021. The Company has the intent to attract, recruit, develop and retain key employees, and the Company maintains policies and procedures on the Group intranet, with access to this documentation provided to employees via the Company's Human Resources department. Appropriate education and training and development opportunities are provided to all employees to encourage continuous development, and employees are kept abreast of key financial and economic updates on the Company's performance and other matters on a regular basis, and in monthly meetings hosted by senior management, where employees have an opportunity to raise questions or provide feedback.

It is the Company's policy to give full and fair consideration to all applications for employment including from disabled people, having regard to their abilities and aptitudes. Full consideration is given to continuing the employment of staff who become disabled, including considering them for other reasonable positions and arranging appropriate training where required. The Company aims to provide an inclusive environment for all employees, regardless of sex, marital status, race, nationality, age, sexual orientation or religion.

The Company provides an opportunity for increased employee engagement with the Company's performance through the employee share incentive scheme and the Company's profit share scheme.

Engagement with suppliers and customers

The Directors note the importance of fostering strong relationships with the Company's customers and suppliers through open communication and having regard for these relationships in strategic decisions made relating to the Company.

Disclosure of information to auditor

The Directors who held office at the date of approval of this Directors' report confirm that, so far as they are each aware, there is no relevant audit information of which the Company's auditor is unaware; and each Director has taken all the steps that they ought to have taken as a Director to make themselves aware of any relevant audit information and to establish that the Company's auditor is aware of that information.

Auditor

Pursuant to Section 487 of the Companies Act 2006, the auditor will be deemed to be reappointed and KPMG LLP will therefore continue in office.

By order of the Board.

John C Paton
Director

60 Gresham Street
London EC2V 7BB

13 December 2021

Statement of Directors' responsibilities in respect of the strategic report, the Directors' report and the financial statements

The Directors are responsible for preparing the strategic report, the Directors' report and the financial statements in accordance with applicable law and regulations.

Company law requires the Directors to prepare financial statements for each financial year. Under that law they have elected to prepare the financial statements in accordance with UK accounting standards and applicable law (UK Generally Accepted Accounting Practice), including FRS 101 Reduced Disclosure Framework.

Under company law the Directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period. In preparing these financial statements, the Directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable UK accounting standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- assess the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and
- use the going concern basis of accounting unless they either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

The Directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are responsible for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error, and have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the Company and to prevent and detect fraud and other irregularities.

Independent auditor's report to the members of Alpha FMC Bidco Limited

Opinion

We have audited the financial statements of Alpha FMC Bidco Limited ("the Company") for the year ended 31 March 2021 which comprise the profit and loss account, balance sheet, statement of changes in equity and related notes, including the accounting policies in note 1.

In our opinion the financial statements:

- give a true and fair view of the state of the Company's affairs as at 31 March 2021 and of its profit for the year then ended;
- have been properly prepared in accordance with UK accounting standards, including FRS 101 Reduced Disclosure Framework; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) ("ISAs (UK)") and applicable law. Our responsibilities are described below. We have fulfilled our ethical responsibilities under, and are independent of the Company in accordance with, UK ethical requirements including the FRC Ethical Standard. We believe that the audit evidence we have obtained is a sufficient and appropriate basis for our opinion.

Going concern

The Directors have prepared the financial statements on the going concern basis as they do not intend to liquidate the Company or to cease its operations, and as they have concluded that the Company's financial position means that this is realistic. They have also concluded that there are no material uncertainties that could have cast significant doubt over its ability to continue as a going concern for at least a year from the date of approval of the financial statements ("the going concern period").

In our evaluation of the Directors' conclusions, we considered the inherent risks to the Company's business model and analysed how those risks might affect the Company's financial resources or ability to continue operations over the going concern period.

Our conclusions based on this work:

- we consider that the Directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate;
- we have not identified, and concur with the Directors' assessment that there is not, a material uncertainty related to events or conditions that, individually or collectively, may cast significant doubt on the Company's ability to continue as a going concern for the going concern period.

However, as we cannot predict all future events or conditions and as subsequent events may result in outcomes that are inconsistent with judgements that were reasonable at the time they were made, the above conclusions are not a guarantee that the company will continue in operation.

Fraud and breaches of laws and regulations – ability to detect

Identifying and responding to risks of material misstatement due to fraud

To identify risks of material misstatement due to fraud ("fraud risks") we assessed events or conditions that could indicate an incentive or pressure to commit fraud or provide an opportunity to commit fraud. Our risk assessment procedures included:

- Enquiring of Directors as to the Company's high-level policies and procedures to prevent and detect fraud, as well as whether they have knowledge of any actual, suspected or alleged fraud.
- Reading Board minutes.
- Using analytical procedures to identify any unusual or unexpected relationships.

We communicated identified fraud risks throughout the audit team and remained alert to any indications of fraud throughout the audit.

As required by auditing standards, we perform procedures to address the risk of management override of controls, in particular the risk that management may be in a position to make inappropriate accounting entries. On this audit we do not believe there is a fraud risk related to revenue recognition because there are limited incentives, rationalizations and opportunities to fraudulently adjust revenue recognition.

We did not identify any additional fraud risks.

We performed procedures including:

- Identifying journal entries to test based on risk criteria and comparing the identified entries to supporting documentation. These included unusual pairings with a credit or debit to an account below EBITDA and unusual journals with a credit or debit entry to cash.

Identifying and responding to risks of material misstatement due to non-compliance with laws and regulations

We identified areas of laws and regulations that could reasonably be expected to have a material effect on the financial statements from our general commercial and sector experience, and through discussion with the Directors and other management (as required by auditing standards), and discussed with the Directors and other management the policies and procedures regarding compliance with laws and regulations.

We communicated identified laws and regulations throughout our team and remained alert to any indications of non-compliance throughout the audit.

The potential effect of these laws and regulations on the financial statements varies considerably.

Firstly, the Company is subject to laws and regulations that directly affect the financial statements including financial reporting legislation (including related companies legislation), distributable profits legislation and taxation legislation, and we assessed the extent of compliance with these laws and regulations as part of our procedures on the related financial statement items.

Secondly, the Company is subject to many other laws and regulations where the consequences of non-compliance could have a material effect on amounts or disclosures in the financial statements, for instance through the imposition of fines or litigation. We identified the following areas as those most likely to have such an effect: anti-bribery and employment law recognising the financial nature of the Company's activities. Auditing standards limit the required audit procedures to identify non-compliance with these laws and regulations to enquiry of the Directors and other management and inspection of regulatory and legal correspondence, if any. Therefore if a breach of operational regulations is not disclosed to us or evident from relevant correspondence, an audit will not detect that breach.

Context of the ability of the audit to detect fraud or breaches of law or regulation

Owing to the inherent limitations of an audit, there is an unavoidable risk that we may not have detected some material misstatements in the financial statements, even though we have properly planned and performed our audit in accordance with auditing standards. For example, the further removed non-compliance with laws and regulations is from the events and transactions reflected in the financial statements, the less likely the inherently limited procedures required by auditing standards would identify it.

Independent auditor's report to the members of Alpha FMC Bidco Limited (continued)

Fraud and breaches of laws and regulations – ability to detect (continued)

In addition, as with any audit, there remained a higher risk of non-detection of fraud, as these may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls. Our audit procedures are designed to detect material misstatement. We are not responsible for preventing non-compliance or fraud and cannot be expected to detect non-compliance with all laws and regulations.

Strategic report and Directors' report

The Directors are responsible for the strategic report and the Directors' report. Our opinion on the financial statements does not cover those reports and we do not express an audit opinion thereon.

Our responsibility is to read the strategic report and the Directors' report and, in doing so, consider whether, based on our financial statements audit work, the information therein is materially misstated or inconsistent with the financial statements or our audit knowledge. Based solely on that work:

- we have not identified material misstatements in the strategic report and the Directors' report;
- in our opinion the information given in those reports for the financial year is consistent with the financial statements; and
- in our opinion those reports have been prepared in accordance with the Companies Act 2006.

Matters on which we are required to report by exception

Under the Companies Act 2006 we are required to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of Directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

We have nothing to report in these respects.

Directors' responsibilities

As explained more fully in their statement set out on page 4, the Directors are responsible for: the preparation of the financial statements and for being satisfied that they give a true and fair view; such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error; assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and using the going concern basis of accounting unless they either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

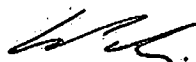
Auditor's responsibilities

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue our opinion in an auditor's report. Reasonable assurance is a high level of assurance, but does not guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements.

A fuller description of our responsibilities is provided on the FRC's website at www.frc.org.uk/auditorsresponsibilities.

The purpose of our audit work and to whom we owe our responsibilities

This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members, as a body, for our audit work, for this report, or for the opinions we have formed.



Craig Parkin (Senior Statutory Auditor)
for and on behalf of KPMG LLP, Statutory Auditor
Chartered Accountants
St Nicholas House
31 Park Row
Nottingham
NG1 6FQ

13 December 2021

Profit & loss account
for the year ended 31 March 2021

	Note	Year ended 31 March 2021 £000	Year ended 31 March 2020 £000
Administrative expenses	3, 4	(7,113)	(6,589)
Other operating income	5	6,530	6,170
Operating loss		(583)	(419)
Interest payable and similar expenses	6	(72)	(50)
Income from shares in Group undertakings	7	6,000	7,187
Profit before taxation		5,345	6,718
Taxation	8	27	(222)
Profit for the financial year		5,372	6,496

In both the current and preceding year, the Company made no material acquisitions and had no discontinued operations.

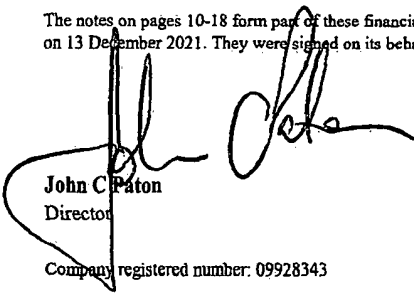
There were no recognised gains or losses in either the current or preceding year other than those disclosed in the profit and loss account, and therefore no separate statement of other comprehensive income has been presented.

Balance sheet

As at 31 March 2021

	Note	As at 31 March 2021 £000	As at 31 March 2020 £000
Non-current assets			
Investments	9	77,378	77,378
Tangible fixed assets	10	45	28
Amounts owed by Group undertakings		58,626	52,626
		136,049	130,032
Current assets			
Debtors	11	7,408	7,400
Deferred tax asset	14	3	24
Corporation tax		48	-
Cash at bank and in hand		153	5,246
		7,612	12,670
Current liabilities			
Creditors: amounts falling due within one year	12	(142,962)	(136,334)
Interest bearing loans and borrowings	13	-	(5,000)
Corporation tax		-	(55)
		(142,962)	(141,389)
Net current liabilities		(135,350)	(128,719)
Total assets less current liabilities		699	1,313
Non-current liabilities			
Creditors: amounts falling due after one year	15	(17)	(3)
Net assets		682	1,310
Capital and reserves			
Called up share capital	16	20	20
Share premium account		1,322	1,322
Profit and loss account		(660)	(32)
Shareholders' funds		682	1,310

The notes on pages 10-18 form part of these financial statements. These financial statements were approved and authorised for issue by the Board of Directors on 13 December 2021. They were signed on its behalf by:


John C Paton
Director

Company registered number: 09928343

Statement of changes in equity

	Called up share capital £000	Share premium account £000	Profit and loss account £000	Total shareholders' funds £000
As at 1 April 2019	20	1,322	381	1,723
Total comprehensive income for the period				
Profit for the period	-	-	6,496	6,496
Transactions with owners				
Dividends	-	-	(6,909)	(6,909)
As at 31 March 2020	20	1,322	(32)	1,310
Total comprehensive income for the period				
Profit for the period	-	-	5,372	5,372
Transactions with owners				
Dividends	-	-	(6,000)	(6,000)
As at 31 March 2021	20	1,322	(660)	682

Notes

(forming part of the financial statements)

1 Accounting policies

Alpha FMC Bidco Limited (the "Company") is a Company limited by shares, domiciled and registered in the UK. The registered number is 09928343 and the registered address is 60 Gresham Street, London, EC2V 7BB.

These financial statements were prepared in accordance with Financial Reporting Standard 101 Reduced Disclosure Framework ("FRS 101").

The Company is exempt by virtue of Section 400 of the Companies Act 2006 from the requirement to prepare Group financial statements. These financial statements present information about the Company as an individual and not about its Group.

In preparing these financial statements, the Company applies the recognition, measurement and disclosure requirements of International Financial Reporting Standards ("Adopted IFRSs"), but makes amendments where necessary in order to comply with Companies Act 2006 and has set out below where advantage of the FRS 101 disclosure exemptions has been taken.

The Company's parent undertaking, Alpha Financial Markets Consulting Plc, includes the Company in its consolidated financial statements. The consolidated financial statements of Alpha Financial Markets Consulting Plc are available to the public and may be obtained from 60 Gresham Street, London, EC2V 7BB, or the website investors.alphafmc.com.

In these financial statements, the Company has applied the exemptions available under FRS 101 in respect of the following disclosures:

- A cash flow statement and related notes;
- comparative period reconciliations for share capital, tangible fixed assets, intangible assets and investment properties;
- disclosures in respect of transactions with wholly owned subsidiaries;
- disclosures in respect of capital management;
- the effects of new but not yet effective IFRSs;
- disclosures in respect of the compensation of Key Management Personnel; and
- disclosures of transactions with a management entity that provides key management personnel services to the Company.

As the consolidated financial statements of Alpha Financial Markets Consulting Plc include the equivalent disclosures, the Company has also taken the exemptions under FRS 101 available in respect of the following disclosures:

- IFRS 2 Share Based Payments in respect of Group settled share based payments; and
- Certain disclosures required by IFRS 16 Leases in relation to disclosure of the Company's leasing activities.
- Certain disclosures required by IFRS 3 Business Combinations in respect of business combinations undertaken by the Company.

The accounting policies set out below have, unless otherwise stated, been applied consistently to all periods presented in these financial statements.

1.1 Basis of preparation

These financial statements have been prepared under the historical cost basis, except for certain financial instruments that are measured at fair value.

There are no judgements made by the Directors, in the application of these accounting policies that have significant effect on the financial statements and estimates with a significant risk of material adjustment in the next year.

1.2 Going concern

Notwithstanding net current liabilities of £135,350,000 as at 31 March 2021 the financial statements have been prepared on a going concern basis which the Directors consider to be appropriate for the following reasons.

The Directors have prepared cash flow forecasts for a period of at least 12 months from the date of approval of these financial statements which indicate that, taking account of reasonably possible downsides and one severe but plausible downside scenario, the Company will have sufficient funds, through funding from its ultimate parent company, Alpha Financial Markets Consulting Plc, to meet its liabilities as they fall due for that period.

Those forecasts are dependent on Alpha Financial Markets Consulting Plc not seeking repayment of the amounts currently due to the Group, which at 31 March 2021 amounted to £138,445,000, and providing additional financial support during that period. Alpha Financial Markets Consulting Plc has indicated its intention to continue to make available such funds as are needed by the Company, and that it does not intend to seek repayment of the amounts due at the balance sheet date, for the period covered by the forecasts. The Company also has access to additional funding through other Group entities, via the Group's revolving credit facility, which remains undrawn at the date of approval of these financial statements, and the strength of the Group's cash position at 31 March 2021. As with any company placing reliance on other group entities for financial support, the Directors acknowledge that there can be no certainty that this support will continue although, at the date of approval of these financial statements, they have no reason to believe that it will not do so.

Consequently, the Directors are confident that the Company will have sufficient funds to continue to meet its liabilities as they fall due for at least 12 months from the date of approval of the financial statements and therefore have prepared the financial statements on a going concern basis.

1.3 Foreign currency

Transactions in foreign currencies are translated to the Company's functional currencies at the foreign exchange rate ruling at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies at the balance sheet date are retranslated to the functional currency at the foreign exchange rate ruling at that date. Non-monetary assets and liabilities that are measured in terms of historical cost in a foreign currency are translated using the exchange rate at the date of the transaction. Non-monetary assets and liabilities denominated in foreign currencies that are stated at fair value are retranslated to the functional currency at foreign exchange rates ruling at the dates the fair value was determined. Foreign exchange differences arising on translation are recognised in the profit and loss.

Notes (continued)

1 Accounting policies (continued)

1.4 Financial instruments

The Company uses financial instruments comprising cash and cash equivalents, preference shares, loan notes and other short-term instruments, such as trade payables that arise from its operations. The main purpose of these financial instruments is to fund the Group's business strategy and working capital requirements.

Accounting policies in respect of financial instruments are outlined below.

Financial assets

Financial assets are initially measured at fair value plus or minus, in the case of a financial asset not at fair value through profit or loss, transaction costs. The Company has not reclassified any financial assets subsequent to initial recognition as at the balance sheet date. Reclassification of classes of financial assets is accounted for prospectively in accordance with IFRS 9, where this is required. Any difference on reclassification from amortised cost to fair value through profit or loss is recognised in the profit and loss at the reclassification date.

Financial assets are assessed at each reporting date to determine a lifetime expected credit loss that reflects the credit risk associated with the portfolio of assets. A financial asset is impaired in line with the simplified approach under IFRS 9 which uses a lifetime expected loss allowance.

An impairment loss in respect of a financial asset measured at amortised cost is calculated as the difference between its carrying amount and the present value of the estimated future cash flows discounted at the asset's original effective interest rate. For financial instruments measured at cost less impairment, impairment is calculated as the difference between its carrying amount and the best estimate of the amount that the Company would receive for the asset if it were to be sold at the reporting date. Interest on the impairment asset continues to be recognised through the unwinding of the discount. Impairment losses are recognised in profit or loss. When a subsequent event causes the amount of the impairment to decrease, the decrease in impairment loss is reversed through statement of comprehensive income.

Amounts owed by Group undertakings

Amounts owed by group undertakings are recognised initially at fair value and subsequently measured at amortised cost, less provision for impairment. A provision for impairment of intercompany receivables is established using an expected credit loss model. The Group classifies all intercompany receivables that form a part of the normal trading cycle of the Group as current, as well as non-trading balances where the counterparty has sufficient resources to settle the balance within a twelve month period from the balance sheet date. All other amounts owed by Group undertakings are considered as non-current assets. This represents a change in accounting policy in the year. All balances were considered current in the comparative period.

Cash and cash equivalents

Cash and cash equivalents comprise cash balances and call deposits and are recorded and subsequently measured at amortised cost in line with IFRS 9.

Financial liabilities

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss. Financial liabilities are classified as held for trading if they are acquired for the purpose of selling in the near term. This category includes derivative financial instruments entered into by the Company that are not designated as hedging instruments in hedge relationships as defined by IFRS 9. As at 31 March 2021, the Company had no such financial liabilities.

Amounts owed to Group undertakings

Amounts owed by group undertakings are recognised initially at fair value and subsequently measured at amortised cost.

Other creditors

Other creditors are recognised initially at fair value. Subsequent to initial recognition they are measured at amortised cost using the effective interest method.

Investments in subsidiaries

Investments in subsidiaries are stated at cost less any provision for impairment. The Company monitor for indicators of impairment at each reporting period, and a full impairment assessment is performed on an annual basis.

The Directors have deemed that no impairment was required in both the current and prior years.

Interest-bearing borrowings

Interest-bearing borrowings are recognised initially at fair value less attributable transaction costs. Subsequent to initial recognition, interest-bearing borrowings are stated at amortised cost using the effective interest method, less any impairment losses.

1.5 Tangible fixed assets

Tangible fixed assets are stated at cost less accumulated depreciation and accumulated impairment losses.

Depreciation is charged to the profit and loss account on a straight-line basis over the estimated useful lives of each part of an item of tangible fixed assets. Land is not depreciated. The estimated useful lives are as follows:

Computer equipment	3 years straight line
Fixtures, fittings and equipment	4 years straight line

Depreciation methods, useful lives and residual values are reviewed at each balance sheet date.

Notes (continued)

1 Accounting policies (continued)

1.6 Impairment (non-financial assets)

The carrying amounts of the entity's non-financial assets, other than deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the assets' recoverable amount is estimated. The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value, less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

For the purposes of impairment testing, assets that cannot be tested individually are grouped together into the smallest group of assets that generates independent cash inflows (the "cash-generating unit"); that is, cash inflows from continuing use that are largely independent of the cash inflows of other assets or groups of assets.

An impairment loss is recognised if the carrying amount of an asset or its CGU exceeds its estimated recoverable amount. Impairment losses are recognised in profit or loss. Impairment losses recognised in respect of CGUs are allocated first to reduce the carrying amount of any goodwill allocated to the units and, then, to reduce the carrying amounts of other assets in the unit (or group of units) on a pro-rata basis.

An impairment loss is reversed if and only if the reasons for the impairment have ceased to apply.

Impairment losses recognised in prior periods are assessed at each reporting date for any indication that the loss has decreased or no longer exists. An impairment loss is only reversed to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

1.7 Employee benefits

Defined contribution plans

A defined contribution plan is a post-employment benefit plan under which the Company pays fixed contributions into a separate entity and will have a legal or constructive obligation to pay further amounts. Contributions to defined contribution schemes are charged to the statement of comprehensive income as they become payable in accordance with the rules of the scheme. Differences between contributions payable in the year and contributions paid are shown as either accruals or pre-payments in the statement of financial position.

Share-based payments

The cost of share-based employee compensation arrangements, whereby employees receive remuneration in the form of shares or share options, is recognised as an employee benefit expense in the statement of profit or loss.

The total expense to be apportioned over the vesting period of the benefit is determined by reference to the fair value (excluding the effect of non market-based vesting conditions) at the date of grant.

In determining the fair value of share-based payments under IFRS 2, management has considered a number of internal and external factors in order to judge the probability that management and employee share incentives may vest. Such judgements involve estimating future performance and other non market-based factors.

At the end of each reporting period the assumptions underlying the number of awards expected to vest are adjusted for the effects of non-market-based vesting conditions to reflect the conditions prevailing at that date. The impact of any revisions to the original estimates is recognised in the statement of profit or loss, with a corresponding adjustment to equity. Fair value is measured by the use of a binomial model. The assumptions have been adjusted, based on management's best estimate, for the effects of non-transferability, lack of dividend until vesting and exercise restrictions.

The fair value calculations have been externally assessed as reasonable in the circumstances.

Regarding the share-based payments charge relating to employees of the Company, there is an intra-group recharge arrangement with the Company's ultimate parent undertaking, to reflect the benefits received by the respective entity in relation to employees granted share options.

The Company is considered to be the receiving entity in the arrangement, in line with the benefit received for services provided through ongoing employment. The Company's ultimate parent undertaking is deemed to be the settling entity in the intra-Group arrangement, as share options granted are in relation to ordinary shares of the parent, and recognises the share-based payments charge for the full Group in other reserves.

Amounts relating to employees who provide services directly to the Company are recorded within the profit and loss account in the form of a management recharge.

The Company's management and employees have access to an equity settled share-based payment arrangement for new employees which forms a part of the wider schemes offered across the Alpha Group, which are settled in Alpha Financial Markets Consulting Plc shares. The Company offers two distinct schemes, the 'Management Incentive Plan' (MIP) and the 'Employee Incentive Plan' (EIP). These are described below.

The Management Incentive Plan ("MIP")

The Company has a MIP to retain and incentivise the Directors and senior management.

Options granted in the current and prior years to the Directors and senior management of the Company are subject to the fulfilment of two or more performance conditions determined by the Group's remuneration committee.

MIP awards have either nil exercise price payable (or no more than a nominal purchase price payable) in order to acquire shares pursuant to options. MIP awards have either 3- or 4-year vesting periods from the date of grant and can be equity-settled only.

The Employee Incentive Plan ("EIP")

Under the EIP, a broad base of the Group's employees have been granted share options or share awards over a small number of Alpha Financial Markets Consulting Plc shares. The EIP has been structured as is most appropriate under the local tax, legal and regulatory rules.

Further disclosure of these schemes is provided within the consolidated Alpha Financial Markets Consulting Plc 2020 Annual Report & Accounts, and the share-based payment arrangement concerns equity instruments of the Company's ultimate parent company, Alpha Financial Markets Consulting Plc, and therefore the Directors have applied disclosure exemptions for the subsidiary accounts as permitted under FRS 101.

1.8 Provisions

A provision is recognised in the balance sheet when the Company has a present legal or constructive obligation as a result of a past event, that can be reliably measured and it is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects risks specific to the liability.

Notes (continued)

1 Accounting policies (continued)

1.9 Taxation

Taxation expense on the result for the period comprises current and deferred tax. Current and deferred tax is recognised in the consolidated statement of comprehensive income, except to the extent that it relates to items recognised directly in equity, in which case it is recognised in equity.

Current tax is the expected tax payable or receivable on the taxable income for the period, using tax rates enacted or substantively enacted at the balance sheet date, and any adjustment to tax payable in respect of previous periods.

Deferred tax is provided using the balance sheet liability method, providing for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. The amount of deferred tax provided is based on the expected manner of realisation or settlement of the carrying amount of assets and liabilities, using tax rates enacted or substantively enacted at the balance sheet date.

The carrying amount of deferred tax assets is reviewed at each balance sheet date and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered. Deferred tax assets and liabilities are offset when there is a legally enforceable right to set off current tax assets against current tax liabilities, and when they relate to taxes levied by the same taxation authority and the Company intends to settle its current tax assets and liabilities on a net basis.

1.10 Dividends

Dividend income

Dividend income is recognised in the profit and loss account on the date the entity's right to receive the dividend is established.

Dividend expense

Dividend expenses are recognised in the statement of changes in equity on the date the entity's right to pay the dividend is established.

1.11 New accounting standards and interpretations

The International Accounting Standards Board (IASB) and IFRS Interpretations Committee (IFRIC) have issued the following standards and interpretations which are now effective:

- IFRS 9 Financial Instruments with IFRS 4 Insurance Contracts (Amendments to IFRS 4);
- Amendments to References to the Conceptual Framework in IFRS Standards;
- Definition of a Business (Amendments to IFRS 3);
- Definition of material (Amendments to IAS 1 and IAS 8); and
- Interest Rate Benchmark Reform (Amendments to IFRS 9, IAS 39 and IFRS 7).

The following amendments to existing standards have been issued and became effective in the year as a response to the COVID-19 pandemic:

- Covid-19-Related Rent Concessions (Amendment to IFRS 16), effective from 1 June 2020 and endorsed by the UK on 9 October 2020.

The Directors reviewed the nature and effect that these new standards have had on the Company and do not believe that the impact is material. These standards have been adopted by the Company:

The Directors have considered new standards and interpretations that have been issued but not yet been effective, however have applied the exemption not to disclose this information under FRS 101.

2 Auditor's remuneration

Auditor's remuneration:

	FY 21 £000	FY 20 £000
Audit of these financial statements	15	5

Amounts receivable by the Company's auditor and its associates in respect of services to the Company and its associates, other than the audit of the Company's financial statements, have not been disclosed as the information is required instead to be disclosed on a consolidated basis in the consolidated financial statements of the Company's parent, Alpha Financial Markets Consulting Plc.

3 Staff numbers and costs

The average number of persons employed by the Company (including Directors) during the year, analysed by category, was as follows:

	Number of employees	
	FY 21	FY 20
Administrative	29	23
Sales	2	2
	31	25

Notes (continued)

3 Staff numbers and costs (continued)

The aggregate payroll costs of these persons were as follows:

	FY 21	FY 20
	£000	£000
Wages and salaries	3,445	2,841
Social security costs	383	148
Contributions to defined contribution plans	73	96
	<u>3,901</u>	<u>3,085</u>

At the year end, 152,447 (FY 20: 42,617) share options in Alpha Financial Markets Consulting Plc, the parent company, remained outstanding to the Company's management and employees, and no share options vested in the year. The Company has incurred a credit to the profit & loss account in FY 21 of £39,837 (FY 20: charge of £8,271) relating to these schemes. The weighted average remaining contractual period to vest for outstanding share options is 2 years. All share options outstanding at the year end date have a nominal exercise price.

4 Directors' remuneration

The Directors of the Company are paid out of other entities within the Group. The Directors believe that the value of their services in respect of the Company, in both the current and prior periods, were negligible and therefore, have not been disclosed.

5 Other operating income

	FY 21	FY 20
	£000	£000
Group recharges	<u>6,530</u>	<u>6,170</u>

6 Interest payable and similar expenses

	FY 21	FY 20
	£000	£000
Interest on bank loans	<u>72</u>	<u>50</u>

7 Income from shares in Group undertakings

	FY 21	FY 20
	£000	£000
Dividend income	<u>6,000</u>	<u>7,187</u>

8 Taxation

Recognised in the profit and loss account

	FY 21	FY 20
	£000	£000
<i>Current tax</i>		
Current tax on income for the period	-	55
Adjustments in respect of prior periods	<u>(48)</u>	<u>-</u>
Total current tax	<u>(48)</u>	<u>55</u>
<i>Deferred tax (see note 14)</i>		
Origination and reversal of timing differences	6	5
Effect of tax rate change on opening balance	-	(3)
Adjustments in respect of prior periods	<u>15</u>	<u>165</u>
	<u>21</u>	<u>167</u>
	<u>(27)</u>	<u>222</u>

Reconciliation of effective tax rate

	FY 21	FY 20
	£000	£000
Profit for the year	5,372	6,496
Total tax expense/(income)	<u>(27)</u>	<u>222</u>
Profit excluding taxation	<u>5,345</u>	<u>6,718</u>
Tax using the UK corporation tax rate of 19% (FY 20: 19%)	1,016	1,276
Reduction in tax rate on deferred tax balances	-	(3)
Adjustments in respect of prior periods	(48)	165
Adjustments in respect of prior periods (deferred tax)	15	-
Income not taxable for tax purposes	(1,140)	(1,366)
Non-deductible expenses	-	150
Group relief surrendered	130	-
Total tax expense/(income)	<u>(27)</u>	<u>222</u>

Notes (continued)

8 Taxation (continued)

An increase in the UK corporation tax rate from 19% to 25% (effective 1 April 2023) was substantively enacted on 24 May 2021. An initial assessment is that this change will have an immaterial impact on the Company's future current tax charge.

9 Fixed asset investments

				Shares in Group undertakings £000	
At 31 March 2021 & 31 March 2020				77,378	
Subsidiary undertakings	Country of Incorporation	Registered address	Principal activity	Class and percentage of shares held - 31 March 2021	Class and percentage of shares held - 31 March 2020
Alpha FMC Group Holdings Limited	UK	1	Intermediate holding company	100% ordinary	100% ordinary
Alpha FMC Group Nominees Limited	UK	1	Group services	100% ordinary	100% ordinary
Alpha FMC Group Limited	UK	1	Intermediate holding company	100% ordinary	100% ordinary
Alpha Financial Markets Consulting Group Limited	UK	1	Intermediate holding company	100% ordinary	100% ordinary
Alpha Financial Markets Consulting UK Limited	UK	1	Consultancy services	100% ordinary	100% ordinary
Alpha Technology Services Consulting Limited	UK	1	Dormant	100% ordinary	100% ordinary
Alpha Data Solutions Limited	UK	1	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting, Inc.	USA	2	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting S.A.S.	France	3	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting	Luxembourg	4	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting Netherlands B.V.	Netherlands	5	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting Switzerland S.A.	Switzerland	6	Consultancy services	100% ordinary	100% ordinary
Track Two GmbH	Germany	7	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting Singapore Pte. Ltd.	Singapore	8	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting Hong Kong Limited	Hong Kong	9	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting Australia PTY Limited	Australia	10	Consultancy services	100% ordinary	100% ordinary
Axxsys Limited	UK	11	Consultancy services	100% ordinary	100% ordinary
Axxsys Financial Software Consulting Canada Limited	Canada	11	Consultancy services	100% ordinary	100% ordinary
Axxsys Consulting USA Inc	USA	12	Consultancy services	100% ordinary	100% ordinary
Axxsys Danmark ApS	Denmark	13	Consultancy services	100% ordinary	100% ordinary
Obsidian Solutions Limited	UK	1	Consultancy services	100% ordinary	100% ordinary
Alpha Technology Services Consulting S.A.S.	France	3	Consultancy services	100% ordinary	100% ordinary
Obsidian Alpha Data Solutions LLC	Serbia	14	Consultancy services	100% ordinary	100% ordinary
Alpha FM Consulting Canada Inc.	Canada	15	Consultancy services	100% ordinary	N/A

Notes:

- 60 Gresham Street, London, EC2V 7BB
- 12 East 49th Street, New York, NY 10017, USA
- 6 Square de L'Opera Louis Jouvet, 75009 Paris, France
- 19/21 Route d'Arlon - bloc B, L-8009 Strassen, Luxembourg
- Spaces Zuidas, Barbara Strozzi 101, 1083 HN, Amsterdam, The Netherlands
- Bleicherweg 10, 8002 Zurich, Switzerland
- Mergenthalerallee 73-75, 65760 Eschborn, Germany
- 6 Raffles Quay #16-01, Singapore 048580
- 22/F., Neich Tower, 128 Gloucester Road, Wanchai, Hong Kong
- 383-385 George Street, Sydney NSW 2000
- New Broad Street House, 35 New Broad Street, London, EC2M 1NH
- Incorp Services, Inc., One Commerce Center, 1201 Orange Street #600, Wilmington, Delaware 19899
- Flaesketorvet 68, DK-1711 Copenhagen, V Denmark
- Belgrade, Serbia at Bulevar kralja Aleksandra no.52
- Suite 1700, Park Plae, 666 Burrard Street, Vancouver, BC V6C2X8, Canada

Notes (continued)

9 Fixed asset investments (continued)

Subsidiary undertakings	Share capital and reserves £'000	Profit/(loss) for the period £000
Alpha FMC Group Holdings Limited	29,425	6,000
Alpha FMC Group Nominees Limited	-	-
Alpha FMC Group Limited	2	6,000
Alpha Financial Markets Consulting Group Limited	7,946	5,468
Alpha Financial Markets Consulting UK Limited	18,488	10,445
Alpha Technology Services Consulting Limited	-	-
Alpha Data Solutions Limited	(2,530)	(1,361)
Alpha Financial Markets Consulting, Inc.	1,564	908
Alpha Financial Markets Consulting S.A.S.	8,862	1,545
Alpha Financial Markets Consulting (Luxembourg) S.A.	1,966	499
Alpha Financial Markets Consulting Netherlands B.V.	(839)	(471)
Alpha Financial Markets Consulting Switzerland S.A.	(216)	(162)
Track Two GmbH	(444)	(99)
Alpha Financial Markets Consulting Singapore Pte. Ltd.	1,253	235
Alpha Financial Markets Consulting Hong Kong Limited	(8)	2
Alpha Financial Markets Consulting Australia PTY Limited	340	309
Axxsys Limited	2,306	658
Axxsys Financial Software Consulting Canada Limited	240	11
Axxsys Consulting USA Inc	-	-
Axxsys Danmark ApS	2,234	1,260
Obsidian Solutions Limited	446	16
Alpha Technology Services Consulting S.A.S.	37	(5)
Obsidian Alpha Data Solutions LLC	32	33
Alpha FM Consulting Canada Inc.	247	243

10 Tangible fixed assets

	Computer equipment £000	Fixtures & fittings £000	Total £000
Cost			
Balance at 1 April 2020	319	1	320
Additions	39	-	39
Disposals	(4)	-	(4)
Balance at 31 March 2021	354	1	355
Depreciation and impairment			
Balance at 1 April 2020	(292)	-	(292)
Depreciation charge for the year	(20)	-	(20)
Disposals	2	-	2
Balance at 31 March 2021	(310)	-	(310)
Net book value			
At 31 March 2021	44	1	45
At 1 April 2020	27	1	28

11 Debtors

	FY 21 £000	FY 20 £000
Amounts owed by Group undertakings	6,935	6,974
Other debtors	145	107
Prepayments and accrued income	328	319
	7,408	7,400

The majority of amounts owed by Group undertakings are interest free and all are repayable on demand.

The Directors are satisfied that all outstanding amounts from subsidiary group undertakings are recoverable. Expected credit loss in relation to amounts owed by Group undertakings was immaterial in both the current and prior years.

Amounts owed by Group undertakings are interest free and are repayable on demand. The Company classifies all intercompany receivables that form a part of the normal trading cycle of the Company as current, as well as non-trading balances where the counterparty has sufficient resources to settle the balance within a twelve month period from the balance sheet date. All other amounts owed by Group undertakings are considered as non-current assets. Of a total of £65,561,000 (FY 20: £59,600,000) of amounts owed by Group undertakings, the Company recognised £58,626,000 (FY 20: £52,626,000) within non-current assets and £6,935,000 (FY 20: £6,974,000) within current assets.

Notes (continued)

12 Creditors: amounts falling due within one year

	FY 21 £000	FY 20 £000
Trade creditors	207	191
Amounts owed to Group undertakings	138,446	133,046
Other creditors	600	612
Accruals	3,709	2,485
	<u>142,962</u>	<u>136,334</u>

Amounts owed to Group undertakings are either interest-bearing or non interest-bearing depending on the type of the creditor relationship and local regulatory requirements. At the balance sheet date the majority of these balances are non interest-bearing. All amounts owed to Group undertakings are repayable on demand.

13 Interest bearing loans and borrowings

	FY 21 £000	FY 20 £000
Interest bearing loans and borrowings	<u>-</u>	<u>5,000</u>

As at 31 March 2020, the Company had one principal bank facility, which comprised a £5.0m committed RCF facility with Lloyds Bank plc. The RCF was fully drawn in the first half of the year as a protective measure in the light of the business uncertainty brought about by the COVID-19 pandemic and was repaid in full on 14 October 2020.

In June 2020 the Company's ultimate parent, Alpha Financial Markets Consulting Plc, signed an extension to and upscaling of its RCF with Lloyds Bank plc to provide further funding flexibility. There was no change to the outstanding drawn balance, and no penalties or charges incurred in relation to upscaling the RCF. This amended RCF totals £20.0m and an arrangement fee of £0.3m was paid on signing. This fee has been capitalised and is being amortised over the initial term of the facility through finance expenses. As at 31 March 2021 the £20.0m RCF remains fully undrawn.

14 Deferred tax assets

Recognised deferred tax assets

Deferred tax assets are attributable to the following:

	Assets		Liabilities		Net	
	FY 21 £000	FY 20 £000	FY 21 £000	FY 20 £000	FY 21 £000	FY 20 £000
Accelerated capital allowances	3	9	-	-	3	9
Short-term timing differences	-	15	-	-	-	15
Net tax (assets)/liabilities	<u>3</u>	<u>24</u>	<u>-</u>	<u>-</u>	<u>3</u>	<u>24</u>

Deferred tax assets held in the current year relate to accelerated capital allowances on the net book value of fixed assets held.

In addition to the deferred tax asset above, the Company has no unrecognised gross tax losses (FY 20: £nil). The UK corporation tax rate legislation announced is set to hold the corporation tax rate at 19% for the 2020/21 and 2021/22 tax years. This rate has been reflected in the calculation of deferred tax for the year ended 31 March 2021.

An increase in the UK corporation rate from 19% to 25% (effective 1 April 2023) was substantively enacted on 24 May 2021. An initial assessment is that this change would increase the Company's future current tax charge accordingly and increase the Company's existing deferred tax asset by an immaterial amount. A detailed analysis of the impact of these changes on the Company's tax position will be undertaken in due course.

15 Creditors: amounts falling due after more than one year

	FY 21 £000	FY 20 £000
Other creditors	17	3
	<u>17</u>	<u>3</u>

16 Capital and reserves

Share capital

	FY 21 £000	FY 20 £000
<i>Allotted, called up and fully paid</i>		
20,000 ordinary shares of £1 each	20	20
	<u>20</u>	<u>20</u>
Shares classified in shareholders' funds	20	20
Called up share capital	<u>20</u>	<u>20</u>

Notes (continued)

16 Capital and reserves (continued)

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company.

Share premium account

The balance classified as share premium of £1,322,000 relates to the aggregate net proceeds less the nominal value of the Company's issued share capital.

Dividend

An interim dividend in respect of the year ended 31 March 2021 of £6,000,000 (FY 20: £6,909,000) was paid to Alpha FMC Midco 2 Limited to facilitate the Group dividend payments made by the Company's ultimate parent, Alpha Financial Markets Consulting Plc, to its shareholders. This dividend was facilitated by the receipt of dividends of £6,000,000 (£7,187,000) from the Company's directly owned subsidiary, Alpha FMC Group Holdings Limited. The Directors have not recommended the payment of a final dividend (FY 20: £nil).

17 Related parties

Identity of related parties with which the Company has transacted

The Company has not engaged in any transactions with any related parties other than with wholly owned subsidiaries. These transactions have not been disclosed as the Company has taken advantage of exemptions under FRS101.

18 Ultimate parent company and parent company of larger Group

The Company is a subsidiary undertaking of Alpha Financial Markets Consulting Plc, incorporated in England and Wales. The ultimate controlling party is Alpha Financial Markets Consulting Plc.

Both the largest and smallest Group in which the results of the Company are consolidated is that headed by Alpha Financial Markets Consulting Plc, incorporated in England and Wales. The consolidated financial statements of the Group are available to the public and may be obtained from 60 Gresham Street, London, EC2V 7BB, or the website investors.alphafmc.com.